

Index (CPI), and other aggregate measures of inflation that they track, are kept within a certain range. However, the U.S. Federal Reserve doesn't target and will never accept a zero percent inflation rate target. Thus, what many retirees fail to realize is that even a very low inflation rate can have a detrimental effect on their purchasing power several years into retirement.

If you recall from Chapter 5, "Personal Inflation and the Retirement Cost of Living," even an inflation rate as low as 2% can reduce the purchasing power of \$1,000 by more than a third after 20 years of erosion. And, after 35 years, the initial \$1,000 is only worth half of its original value in real terms under the same 2% inflation rate.

The mathematics of purchasing power erosion is even more pronounced for retirees. Aside from the CPI, by now you should be aware that the U.S. Bureau of Labor Statistics recently inaugurated a new unique inflation index for the elderly, which they call CPI-E. The need for this new index arises because as we age, our spending habits change. Any inflation index, after all, is a reflection of a given basket of goods, and this new index aims to capture retirees' spending patterns. It turns out that the CPI-E has actually outpaced the broad population CPI by 0.5% to 1% per year throughout much of the past 25 years. What this all means is that inflation is different and is higher for retirees.

Sequence of Returns

In Chapter 6, "Sequence of Investment Returns," I demonstrated how in the years just before and just after retirement, also known as the fragile risk zone, a retiree's nest egg is most sensitive to losses from poor market returns. This is the point at which the greatest amount of money is at stake. Thus, if investment returns are sequenced so that negative returns are earned early on in retirement, the sustainability of the spending strategy may be threatened. Of course, one cannot control the timing of an inevitable bear market, just as we have no control over the precise length and cost of our lifespan or the rate of inflation throughout our retirement.

Thus—and this is one of my main points that motivate the need for a product allocation strategy—rather than trying to predict the outcomes of any of these random events, I believe one should *insure against adverse outcomes* using a product allocation strategy. In a